Canadian Savings Vehicles

RRSP/LIRA

Using Registered Retirement Savings Plans (RRSPs) is a very effective way to save for retirement and reduce taxable income to save for your longer-term goals. Your RRSP contributions may be tax deductible, meaning that money earned in your plan could grow tax-deferred until you retire, which means your retirement savings can grow faster.

The benefits of RRSPs

- Your savings and any interest, capital gains and dividends grow on a tax-deferred basis
- Contributions may be tax-deductible
- All three types of RRSPs are available with a U.S. dollar side – ideal if you wish to trade and hold U.S. securities and cash in your registered accounts
- RRSP investment options include equities, bonds, mutual funds, treasury bills, savings accounts and GICs

Three RRSP accounts to choose from

- Individual RRSP account registered in your name. The investments held within this account, and any associated tax benefits, belong to you.
- Direct some or all your RRSP contribution to a spousal RRSP. You still get the tax deduction, but the plan is registered in your spouse's name.
- LIRAs & LRSPs (Locked-in Retirement Accounts or Locked-in RRSPs) are usually opened following the transfer of a company pension and account holders cannot access funds prior to the age of 55.

RRSPs were created to help Canadians achieve more comfortable and financially secure retirements. But there is a powerful benefit to enjoy along the way to that goal: RRSP contributions are generally tax deductible, reducing your taxable income.

The annual contribution limit is 18% of your previous year's earned income.

Registered Retirement Income Accounts (RRIF)

What is a RRIF?

In many ways, a RRIF is an extension of your RRSP. Your funds continue to grow tax-sheltered. However, a RRIF requires you to take out at least a minimum amount each year as income.

- Your investment income is tax-sheltered
- Amounts withdrawn are added to your taxable income
- An annual minimum payment (AMP) must be taken each year starting the year immediately following the year in which the RRIF is set up. The AMP's value is determined by law, considering your age, account balance, and a percentage factor provided by the Canada Revenue Agency (CRA)
- You only pay tax on the amount you withdraw, not on the total value of your RRIF. However, the total value of the RRIF may be taxed after death
- Withdrawals above the annual minimum payment are subject to a withholding tax at rates prescribed by the CRA

Can I still make contributions to my RRIF?

You cannot make contributions to a RRIF. The only new funds that may come into your RRIF are transfers from other RRSPs or RRIFs. If you are under age 71 and have a RRIF, you can continue to hold an RRSP and make contributions. Or, if you are over age 71 but your spouse is younger, you can continue to make spousal contributions to their RRSP.

What investments can be held in a RRIF?

You can hold the same qualified investments in your RRIF as in your RRSP. If you have a self-directed RRSP, you can transfer the assets intact into a self-directed RRIF. However, some changes to the portfolio may be necessary to provide the income needed for your income payments.

Can you hold foreign content in a RRIF?

- 30% foreign content limit in RRSPs and registered pension plans is now a thing of the past.
- Canadian investors now have the option to invest up to 100% of their retirement plans into foreign securities, without penalty.
- Opportunities for money managers to seek out the best investment opportunities wherever they exist is wonderful news for Canadians - provides the opportunity for greater diversity and more attractive risk-adjusted returns.

RRIF advantages

- The biggest advantage of holding a RRIF is that it allows you to continue with the investment program that you have established and therefore provides the most flexibility of all your retirement income options.
- You can elect to take payments beyond the required minimum, and you can change your investments should your circumstances, or the markets, change.
- A RRIF offers protection from inflation by allowing you to increase the amounts of your payments over the years to keep pace with your higher living costs.

Registered Education Savings Plans (RESPs)

An RESP is a education savings plan that can help you save for your child's university or college education. The savings within your RESP grow tax-free until withdrawal.

RESP offsets the cost of post-secondary Education

The cost of tuition has been rising steadily over the last ten years and continues to outpace inflation. Starting early with an RESP is a smart way to provide one of the greatest gifts to your child and protect your own nest egg.

RESPs at a glance

- Grows tax-free savings
- Enables you to take advantage of generous government grants
- Maximum lifetime contribution limit of $50,000 per child/beneficiary for all their RESPs combined
- Funds upon withdrawal can be used for tuition, books, computers, transportation, or housing
- If the child/beneficiary is making a withdrawal, the funds are taxed at their applicable income tax rate

Tax-Free Savings Accounts (TFSAs)

The benefits of TFSAs

- Contributions to a TFSA are not tax deductible; however, any investment income earned within the TFSA is tax free.
- Withdrawals can be made from a TFSA tax free anytime. Any withdrawals made from a TFSA are added back to your contribution room at the beginning of the following year.
- TFSAs do not affect your eligibility for federal income-tested benefits or credits.
- The annual TFSA contribution limit for 2021 is $6,000 . The contribution limit does not change based on an individual's earned income.

As with an RRSP, you have lots of TFSA investment options. You can invest in equities, bonds, mutual funds, GICs – the list goes on and on.

Your TFSA will allow you to re-contribute the following year any amount that you have withdrawn. For instance, let's say you used $5,500 in TFSA savings on a home entertainment centre. That amount will be added back into your contribution room for the following year!

If you've been putting off opening a TFSA, this is the time to get started. After all, why leave tax-free savings on the table? Even better, contribution room from previous years can be carried over:

- 2019 to 2020: $6,000 per year
- 2016 to 2018: $5,500 per year
- 2015: $10,000
- 2013 to 2014: $5,500 per year
- 2009 to 2012: $5,000 per year

Check your CRA account to see what your contribution room is.

Registered disability savings plan (RDSP)

A registered disability savings plan (RDSP) is a savings plan intended to help parents and others save for the long-term financial security of a person who is eligible for the disability tax credit (DTC).

Contributions to an RDSP are not tax deductible and can be made until the end of the year in which the beneficiary turns 59. Contributions that are withdrawn are not included as income to the beneficiary when they are paid out of an RDSP. However, the Canada disability savings grant (grant), the Canada disability savings bond (bond), investment income earned in the plan, and the proceeds from rollovers are included in the beneficiary's income for tax purposes when they are paid out of the RDSP.

RDSP issuers must deduct income tax from your taxable RDSP payments.

Anti-avoidance rules

RDSPs will be subject to anti-avoidance rules similar to the rules already in place for registered retirement income funds (RRIFs), registered retirement savings plans (RRSPs), and tax-free savings accounts (TFSAs). The change will be effective for RDSP transactions after March 22, 2017. The previous RDSP anti-avoidance rules will continue to apply for RDSP transactions undertaken prior to March 23, 2017.

Under the new RDSP anti-avoidance rules, RDSPs will continue to be subject to a tax on non-qualified advantages, as well as a more comprehensive tax on advantages and a new tax on prohibited investments.